

International Development Bank Strategic Economic Report

The Severn Growth Corridor

Establishing Britain's Pearl River Delta

A River-Based Industrial, Trade and Innovation Zone Linking Cardiff, Bristol, Bath, Gloucester and Cheltenham

Executive Summary

This report proposes the creation of the **Severn Growth Corridor**, a long-term economic development strategy positioning the River Severn and its surrounding cities as:

"Britain's Pearl River Delta"

The Pearl River Delta in southern China became one of the world's most important economic regions by combining:

- major cities
- a navigable river system
- deep-water ports
- manufacturing capacity
- international trade
- innovation clusters
- dense transport connections

The Severn region possesses many comparable structural advantages:

- one of Britain's largest river systems
- proximity to the Atlantic trade routes
- major urban centres
- internationally recognised universities
- industrial heritage
- existing ports
- significant regeneration potential

The proposed economic geography would connect:

- **Cardiff**
- **Newport**
- **Bristol**

- **Bath**
- **Gloucester**
- **Cheltenham**
- **Worcester**
- surrounding Severn Valley communities

into a single integrated economic corridor.

The objective:

Transform the River Severn from a geographic boundary into Britain's most important western economic spine.

1. The Strategic Concept

From River Valley to Economic Delta

Successful global economic regions often develop around rivers:

Region	River System	Economic Role
Pearl River Delta	Pearl River	Global manufacturing hub
Rhine-Ruhr	Rhine	Industrial powerhouse
Yangtze Delta	Yangtze	Advanced manufacturing
San Francisco Bay Area	Bay system	Technology economy
Severn Corridor	River Severn	Untapped British opportunity

The Severn currently contains individual successful cities but lacks a shared economic identity.

The proposal is to create:

The Severn Economic Delta

A connected urban-industrial region.

2. Geographic Scope

The corridor would run from:

Cardiff / Newport

↓

Bristol

↓

Bath



Gloucester



Cheltenham



Worcester



Wider Midlands connections

Approximate economic area:

Population:

5–6 million people

Economic output:

Potentially hundreds of billions of pounds annually when including the wider South West and Midlands economies.

3. Why the Severn?

3.1 Maritime Access

The Severn has direct access to:

- Bristol Channel
- Atlantic Ocean
- European trade routes
- North American shipping routes

This creates a western gateway comparable to Asian river deltas.

3.2 Existing Port Infrastructure

Key assets:

Port of Bristol

Potential for:

- container trade
- renewable energy imports
- food logistics
- advanced manufacturing supply chains

Cardiff/Newport

Existing:

- industrial land
 - docks
 - logistics infrastructure
-

3.3 Existing Cities

Unlike many development zones, the Severn already has:

Cardiff

Strengths:

- government services
 - media
 - finance
 - technology
-

Bristol

Strengths:

- aerospace
 - engineering
 - financial services
 - creative industries
 - universities
-

Bath

Strengths:

- tourism

- heritage economy
 - digital industries
-

Gloucester

Strengths:

- manufacturing
 - engineering
 - logistics
-

Cheltenham

Strengths:

- cyber security
 - intelligence technology
 - software
-

4. Economic Vision

The objective is not to create a single city.

It is to create:

A polycentric river economy

Where each city specialises.

Economic Cluster Model

Cardiff

Atlantic Capital

Focus:

- finance
 - government services
 - media
 - offshore energy
-

Bristol

Engineering and Innovation Capital

Focus:

- aerospace
 - robotics
 - advanced manufacturing
 - clean technology
-

Bath

Luxury and Knowledge Economy

Focus:

- tourism
 - architecture
 - design
 - education
-

Gloucester

Industrial Manufacturing Centre

Focus:

- engineering
 - logistics
 - food processing
-

Cheltenham

Cyber and Digital Security Capital

Focus:

- cybersecurity
 - artificial intelligence
 - defence technology
-

5. The River as Infrastructure

The Pearl River Delta succeeded because the river itself became an economic asset.

The Severn should be treated similarly.

Investment priorities:

5.1 Severn Navigation Revival

Develop:

- commercial river transport
- leisure boating
- logistics
- tourism

Potential uses:

- construction materials
 - aggregates
 - agricultural products
 - waste transport
-

5.2 Port Expansion

Create:

Western Gateway Port Strategy

Connecting:

Bristol Channel

↓

Severn Corridor

↓

Midlands

Potential cargo:

- energy products
- food
- manufactured goods

- offshore wind components
-

5.3 Flood Defence as Economic Infrastructure

The Severn has major flood risks.

A modern flood strategy could combine:

- tidal management
- wetlands
- flood storage
- renewable energy

Creating:

Flood protection + economic development

6. Transport Integration

A delta economy requires movement.

Priority projects:

Severn Metro

A regional rail network linking:

Cardiff

↓

Newport

↓

Bristol

↓

Bath

↓

Gloucester

↓

Cheltenham

Objectives:

- faster commuting
 - labour mobility
 - reduced congestion
-

Cross-Severn Connectivity

Improve:

- rail links
- road connections
- public transport

The river should connect communities, not divide them.

7. Industrial Strategy

The Severn Advanced Manufacturing Belt

Building on existing strengths.

Industries:

Aerospace

Bristol already has major aerospace capability.

Defence Technology

Cheltenham cyber ecosystem.

Energy Technology

Potential:

- offshore wind
 - tidal energy
 - hydrogen
 - grid infrastructure
-

Food and Agriculture

The Severn basin contains:

- farmland
- food processing
- logistics

Opportunity:

premium British food exports.

8. The Atlantic Energy Opportunity

The Severn could become an energy corridor.

Potential:

Tidal Energy

The Severn has one of Britain's largest tidal ranges.

Potential applications:

- tidal lagoons
 - tidal turbines
 - marine energy research
-

Offshore Wind

The Bristol Channel could support:

- offshore wind supply chains
 - maintenance bases
 - engineering employment
-

9. Innovation Economy

The region already contains:

- University of Bristol
- University of Bath
- Cardiff University
- University of Gloucestershire

Create:

Severn Innovation Network

Research areas:

- artificial intelligence
 - robotics
 - aerospace
 - biotechnology
 - clean energy
-

10. Tourism Economy

The Severn corridor has:

- Roman heritage
- Georgian architecture
- countryside
- castles
- waterways
- cultural assets

Potential:

Britain's Slow-Time Tourism Capital

Link:

Bath

↓

Cotswolds

↓

Gloucester

↓

Severn Valley

↓

Cardiff

Tourism products:

- river cruises
 - heritage rail
 - cycling routes
 - food tourism
 - luxury hotels
-

11. Investment Programme

A 30-year investment strategy.

Phase One: Foundation (Years 1–5)

Investment:

£5–10 billion

Priorities:

- transport upgrades
 - port improvements
 - regeneration
 - digital infrastructure
-

Phase Two: Growth (Years 5–15)

Investment:

£20–30 billion

Priorities:

- manufacturing clusters
 - energy infrastructure
 - housing
 - innovation campuses
-

Phase Three: Global Delta Economy (Years 15–30)

Outcome:

A globally recognised western British economic region.

12. Expected Economic Impact

Potential benefits:

Productivity Growth

Better connections between cities.

Export Growth

More manufactured goods leaving through western ports.

Housing and Regeneration

Brownfield development around transport hubs.

Employment

Growth sectors:

- engineering
 - technology
 - energy
 - tourism
 - logistics
-

13. Governance Model

Create:

Severn Economic Development Authority

A partnership between:

- UK Government
- Welsh Government
- local authorities
- universities
- private investors

Comparable to:

- regional development agencies
 - international economic zones
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14. Investment Thesis

The Severn is not simply a river.

It is a potential economic asset.

The transformation:

Current model:

Separate cities along a river.

Future model:

One integrated Atlantic economic delta.

Final Recommendation

The Severn Corridor should be designated as:

Britain's Pearl River Delta

A 21st-century economic zone combining:

- Atlantic trade
- advanced manufacturing
- digital technology
- renewable energy
- tourism
- food production
- river-based logistics

The goal is not to imitate China.

The goal is to recognise that Britain already possesses the foundations of a globally competitive river economy.

The River Severn can become Britain's western industrial spine:

Cardiff → Bristol → Bath → Gloucester → Cheltenham → Midlands

A connected, productive, export-focused economic delta for the next century.